

\$21 trillion

thought to be hidden
in tax havens abroad



INDIRECT TAXES

Other variables

There are a variety of taxes in the US, including capital gains, gifts, imports, and much more.

Excise tax

An indirect tax that applies to specified goods, such as gasoline, or activities, like highway usage by trucks.

Sales tax

This tax is applied at the state level and varies by state. Not all states have sales tax.



NEED TO KNOW

- **Tax return** A document used by individuals and businesses to record income.
- **Tax rate** The amount at which an individual or a company is taxed; rates vary according to a person's income or a company's returns.
- **International agreements** Contracts that act as a restraint on taxation, such as in stopping import duties from being levied.

TAX EVASION AND AVOIDANCE

Because tax systems vary so widely from country to country, it is possible to exploit the differences in international tax rates in order to reduce the total amount of tax due. This is termed tax "evasion" when it is done illegally, and tax "avoidance" when performed legally, although in practice the boundaries between the two are blurred. Some jurisdictions deliberately set very low tax rates to attract investment; some also provide secrecy around the identity of those investing there. This has led to accusations that such areas are acting as "tax havens." This means that, instead of providing a legitimate location for economic activity, they are allowing major corporations and the very wealthy to avoid paying taxes they should be paying.

